

## **BOARD MEETING OF THE CBA**

### **MINUTES**

**(13.11.2018)**

#### **On the Refinancing Rate**

**The CBA Board Meeting of November 13, 2018 attended by Chairman Arthur Javadyan, Deputy Chairman Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, and Martin Galstyan**

The Board meeting opened with presentation of the Situation Report as of November 13, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

As low as 0.1% inflation rate was observable in October of 2018 as compared with the month's seasonality, which owed to price falls in commodity groups "Fruit" and "Vegetable" by 3.3% and 7.6%, respectively (combined contribution to inflation: -0.6 pp). These deflationary effects on the month's inflation were primarily offset by increased prices of commodity groups "Meat products" and "Clothes and footwear". The 12-month inflation has decreased to 2.8% in late October as a result, approaching the lower part of the confidence band. In October, core inflation also reduced to some extent, pointing to some weakening of inflation expectations.

Addressing the economic environment, the Board summed up the third quarter's actual results, according to which the economic growth had somewhat weakened mainly due to reduced agricultural output and slower growth rates in construction sector. Following this development, the January-September 2018 economic activity indicator, relative to the same reference period last year, amounted to 6.6%, compared with that of 8.9% registered in the first half of the year. In the third quarter, domestic demand continued to be driven by considerable growth in private spending. In the meantime, the domestic demand growth rate has in part slowed down under the influence of a contractionary fiscal policy. Moreover, the pace of fiscal policy implementation on the developments related to demand will also be significant in early 2019.

The external sector developments addressed at the Board meeting pointed to some sluggishness of the inflation environment amid persisting economic growth trends globally. Thus, price decreases were observable in basic commodity and food product markets of the world – one exception is the oil price which still is on the rise. However, as actual inflations in major partner countries today run above their targets and certain inflation

expectations accumulate, the central banks of these countries are tightening the monetary conditions by raising the policy rate and taking other action as required.

The Board referred to the developments in the domestic financial market: it was stated that trends mostly persisted as interest rates in different segments of the market were shaped around the policy rate.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. Considering that no significant inflationary pressures are expected from the external environment and domestic economy of Armenia and that current policy rate is estimated to be rather expansionary in the light of sluggish domestic demand, the Board finds it reasonable to leave the refinancing rate unchanged. As well as the Board believes that fulfilling the inflation target will require keeping the monetary policy expansionary for a longer period and letting it phase out gradually in the medium run. **As a result, the expectation is that the inflation will be fluctuating in the lower part of the confidence band for some time and will stabilize around the 4% target at the end of the forecast horizon.**

The Board also referred to existing inflation risks. Mostly on a downside path, these risks relate to the pace of fiscal policy implementation and slowing of economic activity in comparison with a baseline scenario. In the event these risks materialize, the Central Bank will adjust the monetary policy direction accordingly, while ensuring the price stability.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

## **Deciding on the Interest Rate**

### **CODE**

**050.0192 A.13.11.18**

**November 13, 2018**

**No. 192 A**

## **Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market**

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
  - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
  - 2.2. Deposit facility rate offered by the Central Bank to be 4.5%.
3. This decision shall take force on the day following the adoption thereof.

**Arthur Javadyan,**

**Chairman of the Central Bank**

**November 13, 2018**

c. Yerevan

**PRESS RELEASE**  
**13.11.2018**

In the November 13, 2018 meeting, the Board of the Central Bank of Armenia (CBA) decided to leave the refinancing rate unchanged: at the level of 6.0%.

There was 0.1% inflation in October of 2018, in which circumstance the 12-month inflation rate has reduced to 2.8% at the end of the month. At the same time, the core inflation rate has also slowed down slightly. The Board of the CBA estimates that in the upcoming months the inflation environment will be stable and the 12-month inflation rate will be running within the lower part of the confidence band.

Global economic growth trends are persisting, under which the central banks of leading countries gradually tighten their monetary policy conditions. In the meanwhile, the inflation environment in the international markets of basic commodities has somewhat weakened, and the Board of the CBA considers that inflationary pressures from the external sector are not anticipated in the coming months.

The Board notes that certain weakening of economic activity was observable over the third quarter of 2018 mainly due to contracted output in agricultural production and decelerated growth rates in the construction sector. The estimation is that the current fiscal policy continues to have a contractionary effect on domestic demand. Moreover, the pace of fiscal policy implementation in 2019 may also leave a significant impact on the developments in domestic demand.

Taking into account the aforementioned developments as well as sharing the same opinion that the monetary conditions at present are rather expansionary, the Board of the CBA finds it appropriate to maintain the refinancing rate at the current level. At the same time, in view of the anticipated macroeconomic developments, keeping the monetary environment expansionary for a longer period of time is essential for fulfillment of the inflation target, on condition that it gradually eliminates in the medium run. As a result, the expectation is that inflation will still be running within the lower part of the confidence band, stabilizing around the 4% value at the end of forecast horizon.

Risks to fulfillment of the inflation target at the end of forecast horizon are assessed by the Board to be downside, due to external and internal factors. However, should there be risks to the inflation and economic growth outlook deviating from the prediction scenario, the CBA will adjust the monetary policy directions accordingly, while ensuring the price stability.

**Detailed information that underlies the decision on setting of the interest rate will be available in Inflation Report (Monetary Policy Program, 4th quarter, 2018) to be published by November 27, 2018.**

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Press Service of the Central Bank of Armenia